

Evaluation Criteria for Variable Spending Strategies and the PAY RuleTM to Calibrate Retirement Spending

Our attention now shifts to variable spending strategies for retirement. We still focus on probability-based strategies, which rely on a total-return investment approach, where the principal value of the portfolio may be spent as needed in addition to any interest and dividends generated by the portfolio. The mechanism for managing sequence risk, though, is to allow spending to fluctuate over time. Reducing spending in the event of a market decline provides a release valve for sequence-of-returns risk that can allow the initial withdrawal rate to increase. This is because the current withdrawal rate does not have to be increased by as much when the portfolio loses value. Managing sequence-of-returns risk in this manner allows synergies to develop, making it possible to keep spending at a higher average level than a constant inflation-adjusted strategy without any flexibility, while maintaining the same overall risk for portfolio depletion.

Sustainable spending rates for retirees depend on many factors: asset allocation, present market valuations (particularly, current interest rates), the desired spending pattern over time, the degree of budget flexibility to adjust spending in response to market performance, the desire to preserve a portion of the portfolio over long periods of time, and the length of the planning horizon. The assumptions that went into creating the 4 percent rule represent a number of simplifications for research purposes; the matter explored in great depth now is what happens when spending is not kept constant in inflation-adjusted terms.

A sustainable spending strategy will generally seek to provide a proper balance among three goals:

1. Preserve some portion of the underlying portfolio (in inflation-adjusted terms),
2. Maximize spending to meet current budgetary needs, and
3. Stabilize spending to keep pace with inflation and meet future budgetary needs with low risk of significant spending cuts.